# Legal and professional framework

## 3.1 Introduction.

The companies Act define the duties, powers and responsibility of an auditor. The Act equally defines the liabilities of an auditor in statutory audit, which unlike in private audits is not determined by any form of agreement between the auditor and the client.
The auditor therefore performs his audit work according to the provisions given in the Act. The Act has also provided the qualifications of the auditor including the procedure to be followed in the appointment of the auditor.
The professional bodies such as the Institute of Certified Public Accountants of Kenya (ICPAK) have set out guidelines to ensure that audit work is performed up to the highest professional standards.
This topic will focus on the legal and professional environment in which the auditor operates.

## 3.2 General Approach

It is a legal requirement of the companies Act Cap. 486 for all Limited Companies to appoint an auditor who will oversee the company's affairs for a given financial year.

### Appointment of an auditor is as follows:

1. The Board of Directors appoints the first auditor (s) after the company's registration. He must be approved 3o days after the company's registration and he oversees the company's affairs until the next Annual General Meeting. Incase the director fail to do so (a rare situation); the Registrar of companies may appoint an auditor to oversee the company's affairs until the next annual general meeting.

2. In case the above auditor is to resign, he must give a notice of 28 days in writing to the Board of Directors. This notice will be necessary for any other subsequent registration/ removal, i.e., even if the shareholders want to remove the auditor, they must give him a notice of 28 days before the annual general meeting.

3. At the annual general meeting, the shareholders will have to appoint an auditor-28 days must be given to the out-going auditor in this respect.

4. Automatic Appointment
   i). If there is no resolution intended to remove the previous auditor, then he is automatically re-appointed
   ii). If the previous auditor does not give a notice of resignation in writing (of 28 days) then he is deemed to be re-appointed automatically.

iii). If the auditor does not commit any act which disqualifies him from being automatically re-appointed.

5. If after the annual general meeting, the shareholders disagree on who is to be the next auditor. (If no new auditor is appointed or they fail to delegate their duty to the board of directors), then 7 days after the annual general meeting the Registrar of Companies will have to appoint a new auditor assuming that the previous auditor has been removed.

6. Also automatic re- appointment will have to be obvious except
(a) Delays if he is not qualified for reappointment e.g., due to misconduct or the annual general meeting
(b) If the auditor has given a notice ( 28 days) in writing of his intention/unwillingness to be re-appointed.
(c) If any one shareholder has given a notice for a resolution, -intending to appoint someone else then the auditor cannot be re-appointed automatically.

7. Casual Vacancies (General)
A casual vacancy may arise in the auditor's office due to any one of the following situations: -
a) The auditor's death - the Directors will have to fill such a vacancy.
b) The auditor is incapacitated, e.g., loss of limbs - Directors can fill such a vacancy. A doctor has to give a formal certificate to effect this.
c) The auditor's resignation - This can only be filled by shareholders through an Extra Ordinary General Meeting. (Explanation why the auditor is resigning is required), if due to disagreement, he can be reinstated by the shareholders and directors may be removed.

## 3.3 Appointment of the Auditor (Specific)

This appointment is done according to the Companies Act Cap. 486 Sections 159(1)-(6) 159(1) - At the annual general meeting, shareholders must appoint an auditor i.e. at each annual general meeting - the owners/shareholders must discuss his appointment. 159(2) - States that a retiring auditor will be re appointed automatically without any resolution being passed unless: -
(i) He is not qualified for reappointment e.g.: -
ICPAK requires that only CPA finalist can be registered.
If he has breached professional ethics.
If he has developed some relationship with the client e.g., if he buys more than **5%*o*** the client's shares, is a partner, treasurer, guarantor or has obtained or given loans to the client, under such cases he will be automatically disqualified.
ii) If a resolution has been passed at the annual general meeting appointing somebody else providing expressly that he shall not be re appointed (or resolution is intended to be tabled).

iii) If the auditor has given a notice in writing of his unwillingness to be reappointed. This must be not less than 28 days notice before the next Annual General Meeting of the shareholders.

159(3)- Deals with the appointment by Registrar of companies. The registrar may appoint the auditor 7 days after the annual general meeting has failed to appoint one.

159(4) - Appointment by Directors. The first auditors of the company may be appointed by the directors 30 days after the company's registration and will hold office until the conclusion of the next annual general meeting.

159(5) - In case the directors fail to appoint the first auditors, the registrar may appoint one 7 days after 30 days of company's registration.

159(6) - Casual Vacancies. The directors may fill any casual vacancy in the office of the auditor but while any such vacancy continues, the surviving or continuing auditor(s), if any may act: However: -

- If it is caused by his death, it can be filled by the directors.
- If it is caused by his incapacitation, it can be filled by the directors.
- If it is caused by his registration, it can be filled by the shareholders only

## 3.4 Who can be an Auditor (Qualifications)

An auditor in Kenya must meet the following conditions before he can be allowed to practice: -

1. He must be a member of one or more of the professional bodies, which is specified, in the first column of the accountants Act, e.g. ICPAK, (CPA) ACCA, ICMA.
2. Any one authorized by the registrar of companies to do so (should be a holder of a degree in accounting and have been in auditing environment). -ICPAK has refused to register the above parties as members and as such they are being phased out with time
3. Must be registered with KASNEB and thus must have passed the final part of their examination i.e. his final part of CPA.
4. Must be a member of ICPAK (to ensure adherence to professional ethics)
5. Must have post- graduate experiencing in auditing environment of not less than two years.
6. Must be holding a practicing certificate given by RAB- Registration of Accountants Board.

The above are the requirements of the Accountants Act 1977 Cap. 531 0f the laws of Kenya.

## 3.5 Who cannot be an Auditor (Companies Act Section 161(2)

The following parties cannot act as auditors of a company: -

1. An officer or servant of the company - which means that an employee of a company cannot perform its audit.

2. A person who is a partner or is in employment of an officer of the company being audited.

3. Persons who are disqualified as auditors of the company's subsidiary or holding company or a subsidiary of a company's holding company.

4. Body corporate - These are in form of limited companies. These cannot be auditors because of the following reasons:
   a. These have limited liabilities status and if allowed to be auditors this will expose the client to limited liabilities which may occasion him heavy losses
   b.Limited companies cannot express personal opinion, yet the Companies Act requires that the audit report to contain an opinion paragraph (personal opinion) which millions of shareholders - owners of a limited company cannot express.

5. A person who is indebted to the company for quite large sums of money or has given guarantee or security in connection with indebtness to any party who received or got such indebtness.

6. Directors, shareholders, managing agents, secretaries and treasurers of the company.

7. A person who is holding more than 5% of the company's authorized share capital.
   N.B. Parties $1-4$ are banned by the companies Act Cap. 486

Section 161(2) whereas parties $5-7$ cannot be auditors due to lack of Independence.

## 3.6 Remuneration of the Auditor

1. If the auditor has been appointed by the board of directors, the same board shall fix his fees and other expenses

2. Of the auditor has been appointed by the registrar, the same registrar will fix his remuneration. The Registrar must liaise (fix the remuneration in consultation) with the directors.

3. If he has been appointed by the directors at the annual general meeting, the same shareholders will fix his fees although they can delegate these powers to the directors. (It is not necessary that his remuneration be fixed at the meeting that appointed him

4. The retiring auditor, who is automatically reappointed at these general meetings, unless a resolution has been passed fixing his remuneration, is entitled to receive the same remuneration as in the previous year.

5. If the auditor is asked to do any other work over and above his normal work, e.g. to prepare accounts or income tax returns, he is entitled to receive extra remuneration for such work.

6. If the auditor is removed in a way prejudicial to his interests he is entitled to full years fees if such removal is not in order.

7. Any sum paid by the company in respect of expenses to the auditor shall be deemed to be included in the expression " remuneration" and the profit and loss account should identify his remuneration in his capacity as an auditor and in any other capacity

## 3.7 Removal of an auditor

Shareholders are given the exclusive power to remove an auditor, regardless of the party that appointed him. If any shareholder(s) wishes to nominate another person in place of an existing auditor, this nomination must be given in a special notice of 14 days to the company. The company in return will send a notice to the retiring auditor of not less than 28 days before the annual general meeting. There after, the retiring auditor will have to send representations to the company (not exceeding a reasonable length) and in turn the company shall circulate these representations to the shareholders provided that these have been received in good time before the annual general meeting.

Nevertheless, if these cannot be sent to the shareholders then the auditor will have the right to read them at the annual general meeting.

However, if these representations are defamatory in nature, then the company may refuse to send them to the shareholders especially so, if the court is satisfied on application of the company or other aggrieved party that the right of representation has been misused or abused by the auditor and the court may order the auditor to pay expenses incurred by the company in this respect.

The auditor being removed has the right to attend the annual general meeting discussing his removal and also has equal right to speak at the same meeting; this is to prevent directors from removing an auditor without the knowledge of the shareholders as to the reasons behind his removal.

If it is the first auditor of the company appointed by the directors to hold office until the conclusion of the next annual general meeting, such may be removed before the expiry of his term of office provided a notice of 28 days has been given to him.

## 3.8 Rights of the Auditor (Given by the Companies Act Cap 486)

1. Right of access to the books of accounts of the Organization at all times.
   a. The auditor has a right of access to those books, which may be kept in the business and elsewhere.
   b. Right to receive returns submitted by the branch to the head office.
   c. "Books" will include, books of accounts, statutory books (Memorandum and Articles), statistical books, consisting books and vouchers of whatever nature.

2. Right to call for information and explanations
   The auditor has the right to ask for any information at any time and any explanation, which is necessary for his opinion. He has an equal right to get information and explanation from the company's officers (Managing agents, Company Secretaries, Treasurers).

3. Right to receive a notice of 21 days to attend the Annual general Meeting.

   The auditor has the right receive a notice of 21 days to attend the Annual General Meeting or Extra-Ordinary Annual General Meeting regardless of whether accounts are discussed at the same annual general meeting, but can only speak at this annual general meeting if the accounts are subject of discussion.

4. Right to make a statement at the Annual General Meeting
   a. The statement must be to do with accounts under discussion, and is bound to answer only those questions concerning the accounts if these pass through the chairman of the annual general meeting.
   b. He has the right to correct wrong statement given by the directors to do with accounts. He cannot cover omissions in the report through his statements at the annual general meeting in exercising this right.

5. Right to be indemnified

   He can be indemnified out of the company's assets against any liabilities incurred by him defending his name if the company in any manner tarnished this.

6. Right to take legal and Technical Advice

   The auditor has a right to obtain advice from such experts as engineers, lawyers, solicitors and valuers. However, this advice must be interpreted from the auditor's own understanding of the prevailing circumstances in order to arrive at an opinion.

7. Right to visit the company's branches

   The statutory auditor has a right to visit the company's branches provided these have no qualified external auditor. During this visit, he has an equal right over all books of accounts and vouchers of the same branch and has a right of access returns, (The returns the same branch has submitted to the head office).

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9. Right to remuneration

   The auditor has the right to receive his fees, provided he has completed his work or if he is dismissed unlawfully during the course of the year, he has a right to the full year's fees as was held in the case of Homer Vs Quilter (1908 UK).

10. Right to sign the Audit Report.

    An auditor or one partner in the firm of auditors has a right to sign the audit report or to authenticate any documents which the companies Act requires the auditor to sign e.g. a prospectus, engagement letter; interim report for payment of interim dividends, bankers reference to do with the company's financial strength, a report of the company's affairs when the management are resigning.

11. Rights during removal

    During his removal he has the following rights

12. Right to speak at the very meeting discussing his removal.

13. Right to send his representations to the company, which will then be circulated to all shareholders.

14. Right to receive a notice of the annual General meeting that will discuss the Auditor's removal (28 days notice).

15. Right to read the representations of the annual general meeting in case these were not sent in a reasonable time to shareholders.

16. His removal is reserved to shareholders, thus he has the right to withstand other forms of removal.

17. Right to receive notices of meetings.
a. Right to receive 28 days notice of the annual general meeting discussing his removal
b. Right to receive a notice of 21 days to attend the ordinary annual general meeting in which accounts will be discussed.
c. Right to receive notice of Extra- Ordinary general meeting (7 to 14 days).

## 3.9 Duties of the Auditor (Statutory)

1. Duty to make a report
The auditor of a company has the duty to communicate his findings arising out of his examination in his report to the members (shareholders) and in this report he has a duty to communicate to the shareholders their company's affairs.

2. Duty to state the following in the report:
a) Whether in their opinion, he has received all the information and explanations, which to the best of his knowledge and belief, is necessary for his opinion.
b) Whether in his opinion the profit and Loss Account exhibits a true view of the profits or loss of the period.
c) Whether in his opinion the balance sheet referred to in his report is properly drawn up and whether it exhibits a true and fair view of the company's state of affairs according to him and also as evidence obtained from the books of accounts.
d) Whether proper books of accounts have been kept and returns received from branches not visited by him.
e) Whether or not the profit and loss account and the balance sheet have been drawn up according to the Companies Act requirements.

3. Duty to call for information.
a) Whether loans have been properly secured. A loan should be 2/3 of the value of the security except for land and buildings.
b) Whether securities have been sold below their purchases price.
c) Whether personal expenses have been debited to profit and loss account

and if so to debit personal accounts of employees.

4. Duty to assist in investigation

   The auditor should give support to investigations of the client (only if in financial matters) and to produce his working papers to assist in such, (Auditors' working papers are those documents, schedules notes observations, conclusions, assumptions etc. made and recorded by him to assist in his final review when forming an opinion) These are usually kept in either current audit file or permanent audit file.

   Current audit file is that file containing information of a current nature. Such is only needed for that particular financial year 's audit and is thereafter closed. It will contain present balance sheet, profit and loss account, questionnaires, schedule of debtors and creditors, etc.
   Permanent audit file is that file which contains information of permanent nature, important to the auditor as regards the client's audit. It will contain - memorandum of
   association, articles of association, engagement letters, company's accounting policies, company's long-term investments, it is kept for 15 years after the auditor is no longer the company's auditor.

5. Duty to certify Statutory Report.

   So as to assure the owners of the following: -
   a. Number of shares allotted by the company for cash or consideration in particular to promoters
   b. Whether such issue was conducted properly.

6. Duty to certify prospectus

   This opens the liabilities of the auditor to the whole world i.e. to any one who use such a prospectus to make an investment decision, which later turns out to be a loss- will sue the auditor who certified such a prospectus. The auditor if found guilty will have to make good the loss suffered by such party. The auditor must certify all statements in the prospectus i.e. usually 5 years previous audited accounts (profit and loss account and the balance sheet).

7. Duty to certify Profit and Loss Account when managing agents resign
   e.g. Treasurers, Secretaries and Managing Directors. (To prevent frauds). He must certify these agents have not left frauds in the company thus has to certify:

   The profit and loss account
   The balance sheet

Fund flow statements.

8. Other duties- he has to certify:
   a) Whether loans are properly secured and whether the terms of the loans (granted by /to the client) are not prejudicial to the interests of the shareholders.
   b) Whether transactions of the company, represented by entries, are not prejudicial to the interests of the shareholders.
   c) Whether securities have been sold at a price lower than the cost price.
   d) Whether loans and advances have been shown as deposits or not.
   e) To certify the receipts of cash from shares sold and if no cash has been received, whether the position shown is proper in the accounts. No party be it directors or share
   holders, can restrict the auditor's duties but can expand them as was held in: - Newton Vs Birmingham Small Arm Co Ltd., (1906)

## 3.10 Auditor's independence (Importance)

1. The auditor is an agent/ watchdog for the shareholders and must be independent of directors and management who look after the interests of the shareholders in a company

2. The profession requires the auditor to be independent so as to be able to express a balanced opinion on the accounts presented to shareholders whose company has been audited.

3. An audit is an independent examination, and thus as such the person conducting it must be independent of all parties with a financial stake in the company under audit

4. It is a characteristic/quality of the profession that an auditor be independent of the management and other parties with interests in the company under audit.

5. The independence of the auditor is a requirement of the Companies Act, which categorically disqualifies some parties as auditors due to their lack of independence during their audit. Such parties are: -

   - An officer or servant of the firm
   - A Partner in the firm

6. A number of parties with an interest in the company would need the auditor to be independent if his opinion is to safeguard the their interests in the company, e.g.

   - Bankers

- Creditors
- Potential investors
- The government
- Stock exchange brokers
- Employees
- Trade unions
- Debtors
- Financial analysts
- Insurance companies
- Investigators (credit investigators) etc.

## 3.11 Powers of the Auditor.

The auditor has no real legal powers in doing his work. It might be said that the right to report, for example, that the directors have not given him all the information he needs, is a power. But it is not really so as the directors can refuse to publish his report. If they so refuse then there are legal consequences but fundamentally the auditor has no power to make anybody do a particular action.

### 3.12 Summary

In summary, members, directors or the Registrar of companies may appoint auditors. Such an auditor should not be an officer or servant of the company or a partner or employee of an officer of the company. The appointed auditor may be removed provided the proper procedure is followed. A removed auditor retains the right to receive notice of, attend and be heard at the general meeting at which his removal would have ended.

The auditor may resign by giving notice to the company and may requisition an extra-ordinary general meeting to consider the circumstances of the resignation.